# AI Movies Flop in Theaters, Even as AI Videos Flood Phones

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There is an old saying in the film business: people would not pay to watch an actor in theaters if they could see them for free on TV. Today, AI-generated content in China is everywhere: a recent report suggests that among the explosion of **microdramas** in China, nearly two-thirds of those videos are all generated by AI.

But audiences seem to draw a line between what they will watch for free on their phones and what they will buy a ticket for. The fully AI-generated feature "Sanxingdui: Future Past" flopped at the Chinese **box office**, showing that AI still has a tough road ahead in theaters.

The film was no one-click project. Producer Bona says it was produced over two years by a team of 70 to 80 people, and some creators bristled at the idea that the images were created with a single click. The film was being tweaked and technically still "shooting" up until a week before it hit theaters. Still, that level of artistry was not evident on screen. An attendee told the international outlet AFP that the AI still "falls short" of a human-made, **live-action** production. "In the future, just like films, maybe decades later, it would get to a level when people are all willing to pay to watch," she said. "But for the moment, I think there would be very few who would."

A 100-minute feature also faces a hurdle short videos do not: it must go through a **content review** process before it can be screened in theaters, so the speed of bringing something new and fresh to market was not there for "Sanxingdui."

All eyes are now on the next test: YouTuber and AI creator Gossip Goblin's fully AI feature, "Gods Don't Give Gifts," opening in U.S. theaters this December and launching international sales at the American Film Market next month. It is the first such movie to receive a rating from the MPA, and it even intends to submit for eligibility at the Oscars for Best Animated Feature. Gossip Goblin has a large audience across psychedelic, sprawling AI shorts in a connected story universe, and hopes to draw a dedicated **fanbase** to theaters with a self-releasing strategy. Whether in China or America, people go to theaters expecting a level of cinematic quality above what they can get at home on their phones.

## Word Treasure

**microdramas** -- Microdramas are very short drama videos, often watched on a phone.

**box office** -- The box office is the money a movie earns from ticket sales in theaters.

**live-action** -- Live-action means a film made with real actors and cameras, not only animation.

**content review** -- A content review is an official check of a film before it is allowed to be shown.

**fanbase** -- A fanbase is the group of loyal fans who follow and support a creator's work.

## Background you need

Artificial intelligence tools can now create images, video and stories from instructions given by people.

Short videos made this way can be watched for free on phones, while a feature film shown in theaters is expected to look polished and feel like a complete story.

Making a film for theaters also takes extra steps, such as review before screening, which can slow down how quickly new work reaches audiences.

## Break it down

**LEAD:** AI videos flood phones in China, but audiences draw a line at paying for AI films in theaters.

**KEY EVENT:** The fully AI-generated feature Sanxingdui: Future Past flops at the Chinese box office.

+- CONTEXT: A recent report suggests nearly two-thirds of microdramas in China are AI-generated.

+- CONTRAST: Free phone videos versus a movie people buy a ticket for.

**EVIDENCE:** The film was a large effort, but its quality did not convince audiences.

+- EFFORT: Producer Bona says it took two years and a team of 70 to 80 people, and was still being tweaked a week before release.

+- REACTION: An attendee told AFP the AI still falls short of a human-made, live-action production.

+- HURDLE: A 100-minute feature must go through a content review before it can be screened in theaters.

**WHAT NEXT:** Gossip Goblin's fully AI feature, Gods Don't Give Gifts, opens in U.S. theaters this December, with international sales at the American Film Market next month.

**OPEN QUESTION:** Whether theater audiences, in China or America, will pay for AI films that meet their expectations of cinematic quality.

## Why it matters

The flop tests whether audiences will pay theater prices for AI-made films, and the answer could shape how much studios invest in AI features versus human-made movies.

## Test what you remember

**1. According to a recent report, what share of the microdramas in China are generated by AI?**

(A) Nearly two-thirds
(B) Almost all of them
(C) About one-third
(D) About one-half

**2. Which fully AI-generated feature flopped at the Chinese box office?**

(A) A microdrama from China
(B) Gods Don't Give Gifts
(C) A Season of Discovery film
(D) Sanxingdui: Future Past

**3. According to producer Bona, how was Sanxingdui: Future Past made?**

(A) Over two years by a team of 70 to 80 people
(B) In one week by a small phone-video team
(C) Over two years by a team of 100 people
(D) By one person with a single click

**4. What did an attendee tell AFP about the AI in the film?**

(A) That audiences would all pay to watch it now
(B) That it was better than a human-made film
(C) That it still falls short of a human-made, live-action production
(D) That it was made with a single click

**5. What hurdle does a 100-minute feature face that short videos do not?**

(A) It must win an Oscar before release
(B) It must go through a content review process before it can be screened in theaters
(C) It must be filmed in one week
(D) It must be released for free on phones first

**6. What is the next test described in the article?**

(A) A new microdrama launching at the American Film Market
(B) Gossip Goblin's fully AI feature, Gods Don't Give Gifts, opening in U.S. theaters this December
(C) Sanxingdui: Future Past opening in the United States
(D) The first AI film to receive an Oscar

Answer key (try the quiz first!): 1: A 2: D 3: A 4: C 5: B 6: B

## Questions to think about

1. Some creators of Sanxingdui: Future Past: Bristled at the idea that the images were created with a single click.

2. An attendee who spoke to AFP: Said the AI still falls short of a human-made, live-action production, and that very few people would pay to watch such films for the moment, though that could change decades later.

**MY THOUGHTS (at least 20 words):**